

HS 507: Monetary and Fiscal Policy

Course Code: HS 507

Course Name: Monetary and Fiscal Policy

L-T-P-C: 3-0-0-3

Prerequisites: HS 202 or Equivalent courses

Intended for: UG/PG Level

Mutual Exclusion: None

Approval: 62nd BoA

Description

The course consists of two broader domains of monetary policy and fiscal policy. First, the monetary policy, which broadly comes under the domain of macroeconomics, studies extensively about the money and its application in our day-to-day life. Furthermore, it discusses how the Central Bank of the country shapes our decision with the help of monetary policy tools over time. The course on monetary policy discusses the concept, functions and different theories of money and money demand. Further, we explain, in this course, how has Central Bank adopted different monetary policy approaches since time independence until recent and what are the policy instruments to achieve our macroeconomic goals. Second, the fiscal policy comes under the umbrella of public economics, which studies the government policy in terms of economic efficiency. The public economics discusses about the role and nature of government intervention and its implication for distribution, allocation, and stabilization of the economy. With the help of an extensive use of micro founded theoretic tools and its application at macro level, the course examines the individual's response to incentives and how government policies help to enhance social welfare. Finally, the course discusses the application of the theories to the Indian economy.

Objective

The main objective of the course is to make students an in-depth understanding of the tools, objectives, and effectiveness of monetary and fiscal policies and the ways they shape our decision at macro level. The course will focus upon theoretical underpinnings and practical applications of the economic theories at macro level.

Learning Outcome

At the completion of the course on monetary economics and public economics the learner will be able to critically analyze the key concepts and theories and their application in the day-to-day decision making. They will be able to critically examine public expenditure and taxation policies. Moreover, it will help them understand the minutes of the meeting of the monetary policy committee and the kind of monetary policy move the Central Bank takes and its impact on our financial decision.

Course Modules with Quantitative Lecture Hours

- **Module 1: Introduction to monetary and public economics:** Nature and scope of monetary and public economics || Policy trade-offs: inflation vs unemployment, economic growth vs inflation || Coordination and conflicts among monetary and fiscal policies || Monetary and fiscal policy interactions—case studies || Introduction to public economics: role of government in the economy || Linking public economics with microeconomics and its application: welfare economics and market failure || Introduction to monetary

policy || Goals of macroeconomic policy || Inflation and interest rates || Hyperinflation || Introduction to basic economic model: IS and LM framework—encompasses different impact of monetary and fiscal policies and their application on Indian economy || Use of different policy models in the mainstream monetary and fiscal domain—SEM, VAR and DSGE models (12 Hours)

- **Module 2: Money and monetary policies:** What is money? || The quantity theory of money || Money supply: 100-percent and fractional-reserve banking || A model of the money supply || Money demand: different theories of money demand || Transmission mechanisms of monetary policy: Interest-rate channels, Asset price channels, Credit view || Instruments: policy rates, CRR, SLR, LAF etc. || Monetary policy approaches and its frameworks in India: monetary targeting, multiple indicator approach, Inflation targeting || Exchange rate: nominal and real exchange rate (10 Hours)
- **Module 3: Government expenditure and its different theories:** Government budgets, deficit, and public debt || Supply and demand for goods and services and economic equilibrium: Changes in government purchases—crowding out effect, decrease in taxes || Theory of social goods: private and public wants, provision for social goods, mixed goods, club goods, local public goods || Efficiency in resource allocation, Information asymmetry, Externalities, Market failure, Rationale for state intervention || Different theories of public expenditure: Wagner’s law of increasing state activity; Wiseman-Peacock Hypothesis; Colin Clark’s Critical Limit Hypothesis (10 Hours)
- **Module 4: Taxation:** Taxation: principle of taxation—benefit and ability to pay approach || Tax policy—income and expenditure taxes || Buoyancy and elasticity of taxes || Impact, incidence and effects of a tax || India’s tax system: direct and indirect taxes || Recent tax reforms Goods and Services Tax (GST): features and progress || Fiscal federalism in India: Issues and constitutional provision || Fiscal responsibility and budget management act (FRBMA) (10 Hours)

Text Books

1. H. L. Bhatia (2024). *Public Finance*. Vikas Publication.
2. Mankiw G., *Macroeconomics*, Worth Publisher, 2024.

References

1. Froyen R., *Macroeconomics: Theory and Policy*, Pearson Publisher, 2024.
2. Stiglitz, J. E. (2000). *Economics of the Public Sector* (3rd Edition). W.W. Norton & Company, New York.